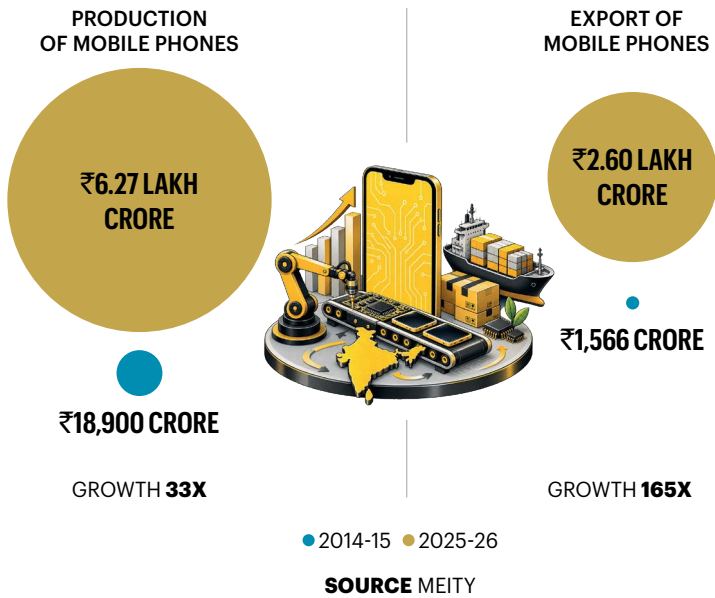


A QUANTUM JUMP

● Phone manufacturing has risen 33 times since FY15



other sub-assemblies, incentivising suppliers to manufacture locally rather than ship finished components from China.

Domestic value addition in smartphones assembled in India grew from a mere 2–5% in 2014 (simple assembly) to roughly 15–20% by 2020.

Next, the government pivoted to the Production-Linked Incentive (PLI) scheme Large Scale Electronics Manufacturing in 2020, shifting its sights from local assembly to rewarding companies for incremental production and high-volume exports.

PAYBACK

This strategy has delivered dramatic results. Consider these facts.

Electronics production increased from ₹1.9 lakh crore in FY15 to ₹11.3 lakh crore in FY25. Mobile phone production surged from about ₹18,000 crore in FY15 to ₹5.45 lakh crore in FY25. Smartphone exports crossed ₹2 lakh crore in FY25, making them one of India's largest export categories.

India is today the world's second-largest mobile phone manufacturer, with Apple and South Korea's Samsung using the country as a major global production base.

"Between 2019 and 2025, India smartphone export shipments registered a CAGR (Compound Annual Growth Rate) of 17%. During the same period, iPhone exports from India recorded a CAGR of over 90%, reflecting a significant scale-up in Apple's manufacturing and export operations in the country," says Prachir Singh. "Apple and Samsung already had global supply chains and export networks, allowing them to scale manufacturing quickly under the PLI scheme."

STATUS CHECK

● The shifting supply chain is encouraging primary component suppliers

CATEGORY		
Final assembly/sub assembly	Component Manufacturing	Design
PRESENCE		
High	Medium	Low-medium
REMARKS		
Large-scale assembly in place, 99% local smartphone production, sharp surge in exports since FY23, EMS footprint at scale	Select sub-assemblies localised (battery pack, chargers, some camera modules), multiple active components are imported	Product design led by OEMs, growing validation/certification capability among Indian EMS/ODMs (original design manufacturers)

SOURCE KPMG INDIA'S ELECTRONICS MANUFACTURING SERVICES OPPORTUNITY